

complaint

This complaint is about the way UK General Insurance (Ireland) Limited has dealt with Mr and Mrs P's claim for flood.

background

Mr and Mrs P suffered a flood at their shop. The flood was caused by a surge from the sewer, which was the water company's responsibility. It was the fourth time the shop had flooded. UKI dealt with the claim but Mr and Mrs P complained that UKI had not paid for the replacement of the floor or for interruption to their business and had not recovered their uninsured loss for them from the water company. The uninsured losses included an unusually large excess because of the number of times the shop had flooded in the past.

Our adjudicator felt that UKI had behaved reasonably on the recovery of uninsured losses but should reconsider the claim for the floor and should be prepared to reconsider the claim for business information if Mr and Mrs P provided it with the information it had asked for.

Neither side accepted the adjudicator's recommendation and the case was referred to an ombudsman.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

UKI has not been able to supply a copy of the policy, other than the section for business interruption, but it appears that it did not contain any cover for damage to the building. When it considered Mr and Mrs P's claim for the floor, UKI treated it as a claim under the public liability section of the policy because Mr and Mrs P were liable to their landlord to repair the floor. But we do not have a copy of that part of the policy, so we do not know what any of the relevant terms and conditions or exclusions were.

UKI rejected the claim for the floor because expert evidence suggested the damage had occurred over a long period of time from the previous floods and so would have been there before the policy started. The problem is that without a copy of that part of the policy we don't know how the cover worked. In fact, with public liability cover, it's quite likely that the trigger would have been when the liability to the landlord arose, which was definitely after the policy started, and it would not matter that the floor might have been damaged for some time.

We know that Mr and Mrs P had paid for an insurance policy and that policy included cover for public liability but, because UKI cannot provide a copy of the policy, it cannot show what the exclusions or limitations were. In those circumstances, I think the fair thing for UKI to do is to reconsider the claim for the floor and, in doing that, it cannot reasonably apply any exclusions or limitations because we do not know what they were.

UKI has not paid anything for business interruption because Mr and Mrs P have not provided all the information it has asked for, including daily trading statements. UKI has also said that the shop was only closed for a day and a half during the period it was covered for loss of business. The shop was closed for longer when the repairs were being carried out but this was more than a year after the flood and by that time the business interruption cover had run

out. There is no suggestion that it was UKI's fault that the repairs didn't start for more than a year, so there is no basis for saying it should have to pay even though the 12 month cover had run out.

Mr and Mrs P have said that the shop was closed for longer than UKI thinks when the flood happened and they have provided financial information to UKI to support their business interruption claim. However, what they have supplied are annual accounts and UKI does need daily trading statements so it can see how the business might have been expected to have done on the days it was closed. I think UKI should be prepared to look into this again if Mr and Mrs P can provide it with daily trading statements around the period(s) the shop had to be shut so it can see how much business was lost.

Part of the problem was that Mrs P became ill after the flood. The illness was serious and made it harder for Mr and Mrs P to push forward with their claim and to respond to UKI's requests for information. I sympathise with Mr and Mrs P's position but I cannot make UKI responsible if I don't think UKI did anything wrong. This is particularly true on the uninsured losses.

I can see that there has been confusion over who was going to be trying to recover uninsured losses from the water company. UKI and Mr and Mrs P had their own loss adjusters who were communicating with each other directly. UKI was trying to recover a number of items from the water company and it is clear that it was also trying to get the water company to pay for Mr and Mrs P's uninsured losses. UKI wasn't obliged to do this, it was doing it because it was prepared to help. At the same time, Mr and Mrs P's loss adjusters were indicating that they were pursuing the water company for the business interruption and for other uninsured losses.

The water company rejected UKI's claim and said that it needed more detailed information. This information had to come from Mr and Mrs P and UKI tried hard to get it. I can see that in the year it gave up, it was in touch with Mr and Mrs P or their loss adjusters every month, apart from one, till November when it wrote to them to say it was going to press ahead on its own against the water company and leave them to pursue their uninsured losses themselves. This was more than four years after the flood.

UKI wasn't obliged to recover uninsured losses from the water company, it was trying to do so on a voluntary basis. For reasons outside everyone's control, Mr and Mrs P weren't able to get UKI the information it needed. It was getting to the point where it might become too late to make any claim against the water company and UKI told Mr and Mrs P that it wasn't going to carry on and they would have to try to get the money back themselves. I can't see anything else UKI could reasonably have done.

my final decision

My final decision is to uphold the complaint in part. UK General Insurance (Ireland) Limited should reconsider the claim for the floor on the basis I have described above. UKI should also reconsider the claim for business interruption if Mr and Mrs P can provide reasonable evidence of the losses they suffered when the shop had to be shut up to the point the business interruption cover ran out.

Under the rules of the Financial Ombudsman Service, I am required to ask Mr and Mrs P to accept or reject my decision before 15 June 2015.

Jonathan Coppin
ombudsman